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31.02 Remedies for Breach of Contract

All parties to a contract are expected to perform their promises. When one party refuses to perform his promise, then the breach of contract takes place. The other party or parties are called aggrieved or injured party or parties.

Remedies

There are various types of remedies for the injured parties listed as follows

i) Recission of Contract.
ii) Claim for Specific Performance.
iii) Claim for Injunction.
iv) Claim for Quantum Merit and
v) Claim for Damages.

(i) Recission of Contract

In case of breach of contract by one party, then the other parties may rescind the contract and thereby the party is absolved from his all obligations under the contract.

For Example: *M* promises *N* to supply him a motor car on 1st January 2017, and *N* promises to pay for the motor car on 1st January 2017. *N* is absolved from paying its price.

(ii) Claim for Specific Performance

In some specific cases if the damages are not the adequate remedy, then the court can direct the party in breach for the specific performance of the contract. In such case, the promise is carried out as per terms and conditions of the contract.

Generally in the following cases, the court grants specific performance

i) When the act agreed to be done is such that compensation in money for its non-performance is not sufficient
ii) When it is probable that compensation in money cannot be received for the non- performance of the act agreed to be done
iii) When there is no standard for ascertaining the actual damage caused by the non-performance of the act agreed to be done

On the other hand, the court does not grant specific performance in the following cases:

i) Damages are an adequate remedy
ii) The contract is not certain
iii) The contract is inequitable to either party
iv) The contract is of revocable nature
v) The contract is made by the trustee in breach of trust
vi) The contract is of personal nature i.e., contract to marry
vii) The contract made by a company ultra-vires of its Memorandum of Association
viii) The court cannot supervise its carrying out

(iii) Claim for Injunction

Injunction is an order passed by a competent court restraining a person from doing some act. Injunction can be defined as a mode of securing the specific performance of the negative terms of a contract. Negative terms of contract imply doing something, which a party has promised not to do. Injunction is an order which is granted by the court restraining the person to do what he had promised not to do.